

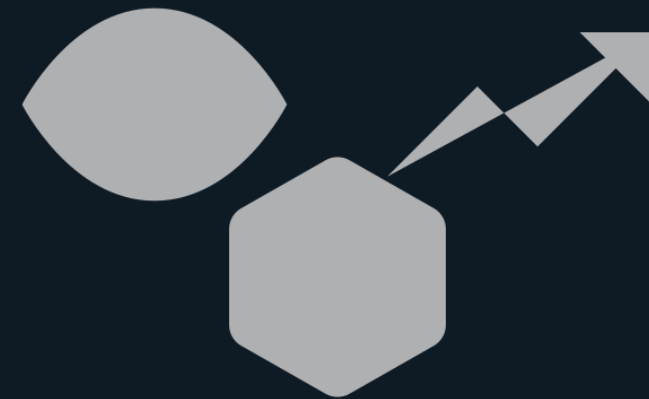
BUSINESS IMPACT STATEMENT

OptiFlow Allocation & Replenishment System

Unlocking the Frames & Sunglasses Growth Opportunity at Centre For Sight

Prepared for: Centre For Sight — Leadership Review

Prepared by: DEKODE Global | July 2026



EXECUTIVE SUMMARY

Frames & sunglasses: a scalable vertical held back by a manual process

Centre For Sight operates one of India's largest integrated eye-care networks, with a fast-growing optical retail vertical in frames and sunglasses. Based on external revenue benchmarks, this vertical likely generates ₹24 crore annually — yet relies heavily on manual, store-level allocation and replenishment.

₹24 Cr

Estimated annual F&S revenue

₹1.8 Cr

Recoverable annual value

₹1.2 Cr

Working capital unlocked

TBD

Expected payback period

A centralized, data-driven allocation and replenishment process can conservatively recover this value — details in Sections 6.

STRATEGIC CONTEXT

A growing market, and a brand positioned to lead it



90+ centres across 30+ cities and 16 states, supported by 350+ doctors — a leading national eye-care brand.

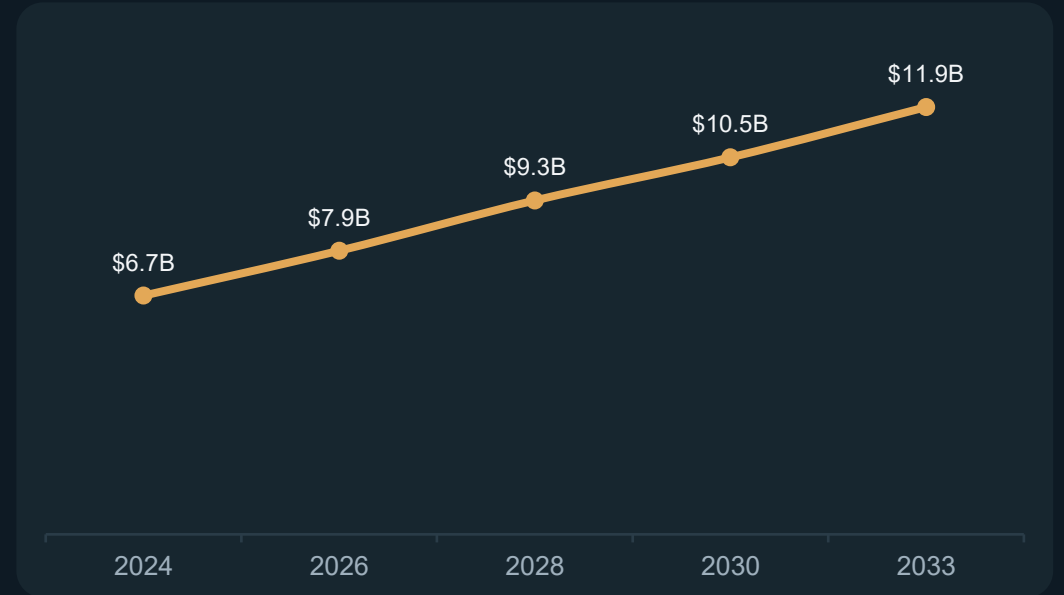


Institutional confidence: a planned ₹830 crore investment from ChrysCapital signals expectations of scalable, system-driven operations.



Frames & sunglasses are no longer ancillary — they are a strategic lever for revenue, margin, and patient lifetime value.

India Eyewear Market Size



Sunglasses: largest & fastest-growing segment within the category.

CURRENT STATE & CHALLENGE

A manual process, working against an ₹24 Cr vertical

External business intelligence estimates Centre For Sight's total revenue at ~₹650–700 crore. Assuming ~25% from optical retail and ~15% of that from frames & sunglasses, the vertical likely represents ₹24 crore annually — allocated today by local judgement, spreadsheets, and informal rules.



Overstocking

Slower stores carry excess frames, driving carrying cost, markdowns, and obsolescence.



Understocking

Fast-moving SKUs stock out at high-performing stores — frequent lost sales.



Inconsistent Assortment

Price-point and brand mix varies by location, weakening brand experience.



High Process Cost

Manual counting, emailing, spreadsheets, and data entry drive error and delay.

Peers Dr. Agarwal's and ASG are scaling similar clinical-plus-retail models — manual allocation is an avoidable, competitive risk.

Peers are scaling process discipline into their retail lines

Centre For Sight

- 90+ centres, 30+ cities, 16 states
- ₹830 Cr ChrysCapital investment (planned)
- Frames & sunglasses: manual allocation today

Dr. Agarwal's Eye Hospital

- India's largest eye-care chain by revenue
- ~₹397 Cr revenue / ~₹70 Cr profit (listed entity)
- Raised ~₹300 Cr in 2025 IPO — mature systems

ASG Eye Hospitals

- Rapidly expanding, integrated optical retail
- Segment-level financials not publicly disclosed
- Building scale via network density & process

Risk of inaction: lower sell-through, slower response to fashion-driven demand, and weaker vendor leverage vs. peers.

QUANTIFIED BUSINESS IMPACT

Where the ₹1.8 Cr in annual leakage comes from



Avoidable markdowns & write-offs

3–4% of revenue lost to unnecessary discounts & obsolescence

₹0.75 Cr



Missed sales from stock-outs

4–5% of demand missed on top SKUs; ~half flows through as profit

₹0.96 Cr

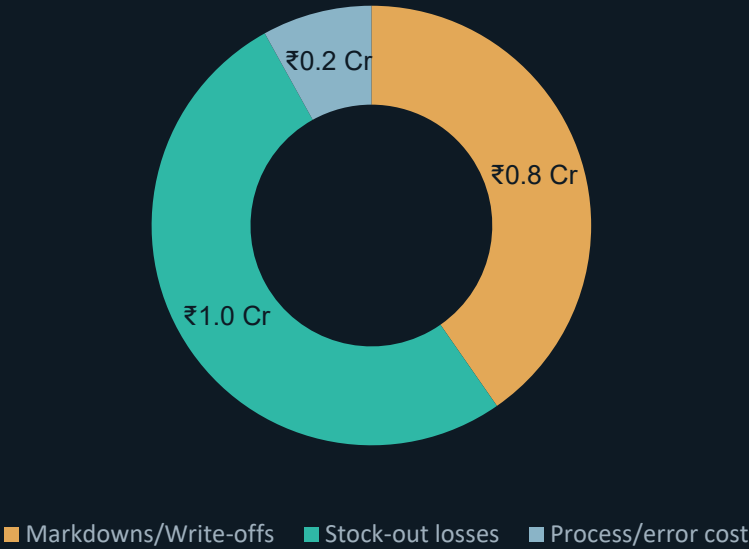


Process & error cost

0.5–1 FTE of managerial + support capacity tied up in manual ordering

₹0.15 Cr

Illustrative Split of Annual Leakage



Positioned to management as “₹1.8 crore of recoverable annual value,” subject to verification with internal data.

PROPOSED SOLUTION

A centralized, analytics-led allocation & replenishment engine



Store Clustering & Profiling

Classify stores into A/B/C clusters by velocity, geography, and socio-economic profile; define target assortment per cluster.



Dynamic Replenishment Logic

Use sales history, seasonality, and lifecycle curves to generate SKUxstore recommendations with min/max thresholds.



Centralized Control, Local Visibility

Store managers review suggested orders; HO retains full visibility. Automated alerts trigger transfers and markdowns.



Analytics & Vendor Leverage

Track sell-through, margin, and turns by SKU/brand/vendor to optimize mix and negotiate better terms.

EXPECTED FINANCIAL & OPERATIONAL BENEFITS

From manual allocation to a measurable, funded advantage



₹0.5–0.9 Cr

Incremental annual profit from +3–5%
F&S revenue capture



₹0.8–1.5 Cr

Working capital freed via 15–25%
reduction in excess/dead stock



40-60%

Less manager/support time spent on
manual ordering & reconciliation

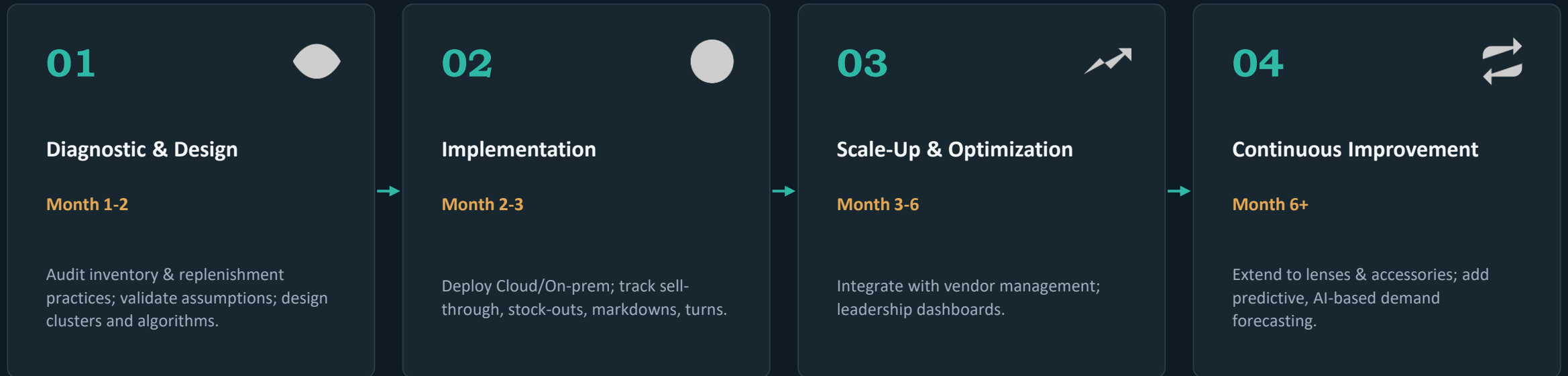


TBD

Payback period, with persistent
annual benefit thereafter

Beyond the numbers: demonstrates the same operational rigor investors expect from CFS's clinical business — strengthening the growth and valuation story.

A phased path from diagnostic to national scale



Three decisions to unlock the opportunity



Endorse the priority

Recognize frames & sunglasses as a scalable, high-potential vertical worth systemizing.



Approve the program

Fund a focused initiative with clear ownership across operations, merchandising, and IT.



Allocate the budget

Fund analytics/technology enablement and change management — final payback depends on scope.

Let's build OptiFlow together

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